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THINK Ahead: What markets are getting wrong on rate hikes

US stock markets are surging to new highs. Oil prices are certainly not back to their lows – and neither are interest rate expectations. One of those things surely can't be right, can it? This week, James Smith looks at what investors could be getting wrong about central bank policy, as the team builds up to another big week in global markets

Equities are surging to new highs even as oil and rate expectations remain elevated

What markets are getting wrong on rate hikes

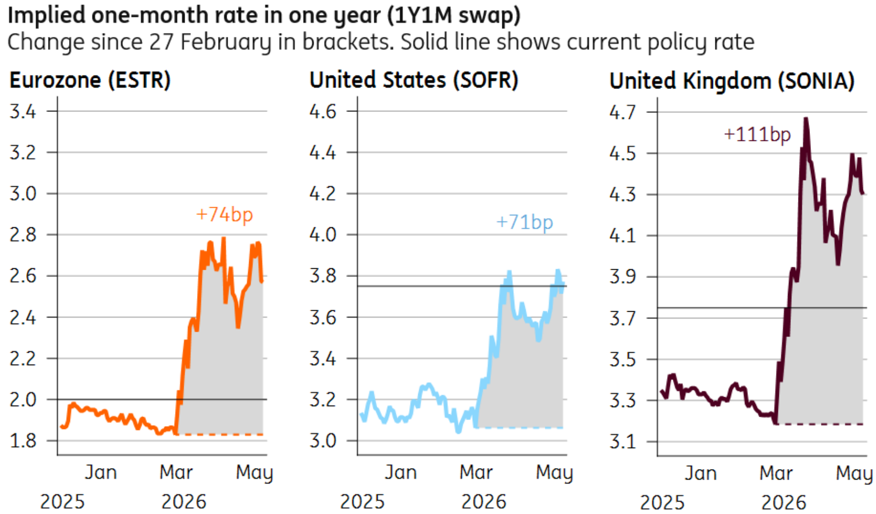
One of many striking features of markets right now is the gap between equities, which have shrugged off their mid-war losses and are surging to new highs, and oil prices – and by extension central bank expectations – which remain well above pre-war levels.

It's hard to believe both are right. And when it comes to the way investors are thinking about central banks, I see four aspects that look particularly difficult to square with our own views here at ING.

First, Fed rate hikes. Markets now think rates are more likely to go up than down, albeit marginally, after weeks of pricing cuts. The spread between US and eurozone interest rates has widened; the scale of repricing since the war began now looks identical in both regions.

That's a change. For several weeks, the working assumption was that Europe faced a much more severe inflation shock, warranting greater tightening than in the US.

How central bank expectations have changed



Source: Macrobond, ING

Why the shift? Eurozone data has undershot expectations, while the US has held up better. The recovery in US equities weakens the case for near term cuts. And the Fed itself has made a concerted effort to talk up market rate expectations, with several officials keen to ditch the easing bias.

We're not so sure. James Knightley still thinks rate cut(s) are more likely than not before year end – and the disagreement hinges on how you view the US jobs market.

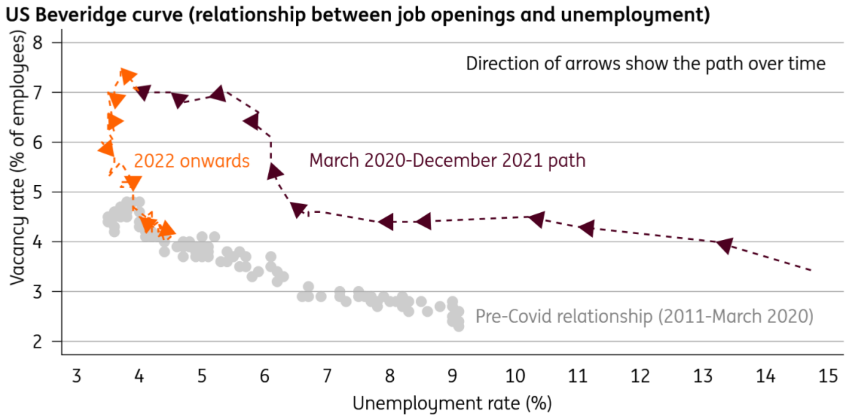
Fed officials increasingly point to collapsing net migration. In 2023, net inflows were 2.7 million. This year, they're projected at just 0.3 million, with a real risk that figure drops to zero or below. Combined with an ageing population, labour supply growth has effectively stalled. That means zero or even negative payroll numbers are potentially less of the red flag they once were. And bumper numbers like today's, at a headline level at least, look all the better.

True. But with labour demand also low across various metrics, the jobs market is more vulnerable than it was three or four years ago.

For a long time, vacancies fell without unemployment rising: firms stopped hiring aggressively, but didn't cut staff. That relationship has now normalised. Any further fall in job openings is much more likely to push joblessness higher than it was two years ago.

And whatever growth remains is extraordinarily concentrated. Private health and social care – less than 20% of total employment – continues to account for a large portion of job creation.

The relationship between vacancies and unemployment has normalised



Source: Macrobond, ING

Second, the UK repricing looks strange. Interest rates are now seen more than a percentage point higher in a year's time than before the war - around 40bp more than the equivalent ECB repricing.

That partly reflects the experience of 2022, when Britain emerged with a bigger and more persistent inflation problem. The UK is often described as being particularly sensitive to energy shocks.

That's only half right.

Yes, Britain is among the most reliant on natural gas, which makes up around 32% of total energy consumption, compared with 20% in Germany and 15% in France. But this is not a gas crisis – at least not yet. Natural gas prices have remained far more contained than in 2022.

Look at net energy imports, and the UK actually scores better than much of Europe. Net all that out, and my UK inflation forecasts look virtually identical to our eurozone numbers.

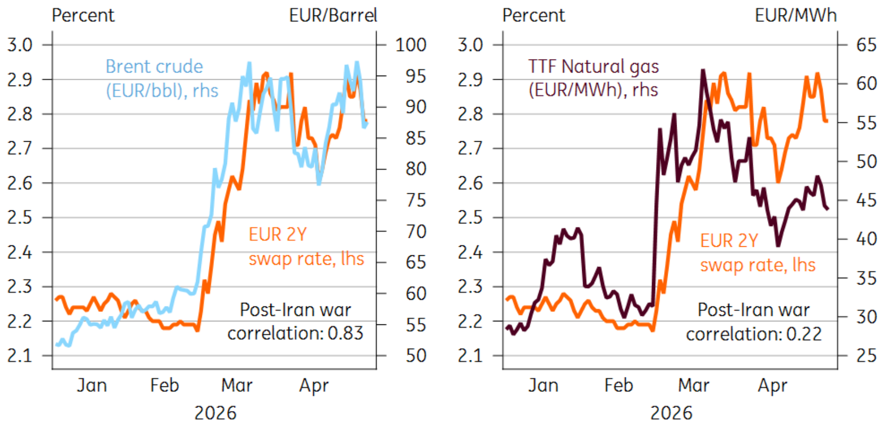
Third, the Bank of England is less likely to deliver two rate hikes than the ECB. Given what I've just said, it seems strange that markets are pricing a similar amount of tightening for the remainder of this year in both economies.

Not least because the message from both central banks last week was markedly different. The ECB seemed remarkably clear that it was on track to hike rates in June unless the situation dramatically changes. The BoE, by contrast, implied that simply not cutting rates - which it may well have done had the war not happened - already amounts to defacto tightening. The case for hiking above current levels was far less clear-cut.

True, here at ING we expect a one-and-done hike on both sides of the channel. But if you had to ask me if the ECB or BoE were more likely to hike, or tighten more in total, then notwithstanding UK political risks, it seems pretty clear that it's the former.

Finally, markets still appear to be overplaying the energy channel. Market expectations for the ECB and BoE are still trading very tightly with oil prices. It's something our Rates Strategy team has repeatedly flagged; the correlation between two-year euro swap rates and Brent crude since the Iran war has stayed very high at 0.83. For natural gas, it's just 0.22.

Rate expectations have moved more with oil than natural gas



Source: Macrobond, ING

As I've already discussed, that distinction matters. In 2022, natural gas and its impact on electricity prices was arguably the central problem for Europe. In reality, I suspect central banks are going to be less sensitive to oil and more attentive to natural gas, relatively speaking, than those correlations currently imply.

And so long as natural gas prices stay low, central banks are less likely to hike rates as aggressively as markets have recently been expecting.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

Inflation (Tue): A second consecutive 0.9% month-on-month print is expected at the headline level, attributable mainly to the surge in gasoline and diesel prices. Higher airline fares will also contribute, while a rebound in medical care and recreation, after soft March readings, risk a 0.3% MoM for core inflation reading, pushing the annual rate up to 2.7%. We continue to believe the headline surge is temporary given the lack of demand impetus that would risk broader, more persistent inflation.

Retail sales/Industrial production (Thur/Fri): The former is likely to be lifted by higher gasoline prices given that this is a nominal dollar figure. However, other components will be softer with auto sales a drag. Industrial production should post a modest rebound given ongoing strength in the ISM manufacturing index.

The other big event will be Jerome Powell's final day as Federal Reserve Chair with Kevin Warsh taking over on Friday 15 May.

THINK Ahead in EMEA

Poland (Adam Antoniak)

1Q26 flash GDP (Thu): Following a poor beginning to the year due to the cold winter, economic activity regained momentum in March. Still, we estimate that annual growth was only slightly slower than the 4.1% YoY posted in 4Q25 and amounted to 3.8% YoY, marking a solid start to 2026. The composition of GDP will be published at the beginning of June, but we expect private consumption to have remained solid, while fixed investment underperformed.

Final Apr CPI (Fri): The StatOffice should confirm that CPI inflation increased to 3.2% YoY in April from 3.0% YoY in March. According to our estimates, the increase was driven by an acceleration in core inflation. The key question is whether this stemmed from price rises in narrow components of the consumer basket – such as airfares and holiday packages – or reflects more broad based inflationary pressures, pointing to potential second round effects following the initial energy shock.

Mar BoP (Fri): We forecast the March current account deficit at €0.3bn, i.e. much narrower than the €1.1bn reported in March 2025. As a result, the 12 month rolling deficit most likely narrowed to 0.8% of GDP from 0.9% of GDP after February. Foreign trade in goods was almost balanced, amid an 8.1% YoY increase in euro denominated exports, while imports advanced by 3.2% YoY. External imbalances remain low.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 11 May		
US	1500	Apr Existing Home Sales (mn)	4.05	4.0
France	0745	Apr FX Reserves (EUR bn)	-	390.6
Norway	0700	Apr CPI (MoM%/YoY%)	-/-	0.2/3.6
Greece	1000	Mar Industrial Output (YoY%)	-	1.8
		Tuesday 12 May		
US	1330	Apr Core CPI (MoM%/YoY%)	0.3/2.7	0.2/2.6
	1330	Apr CPI (MoM%/YoY%)	0.9/4.0	0.9/3.3
Germany	0700	Apr CPI Final (MoM%/YoY%)	0.6/2.9	0.6/2.9
	1000	May ZEW Economic Sentiment	-21	-17.2
Italy	0900	Mar Industrial Output (MoM%/YoY%)	-0.2/0.2	0.1/0.5
		Wednesday 13 May		
US	1330	Apr PPI (MoM%/YoY%)	0.7/5.0	0.5/4
Eurozone	1000	Q1 GDP Flash Estimate (QoQ%/YoY%)	-/-	0.1/0.8
	1000	Mar Industrial Production (YoY%)	-	-0.6
France	0745	Apr CPI (MoM%/YoY%) Final	-/-	1/2.2
Sweden	0700	Apr CPIF (MoM%/YoY%)	-/-	-0.6/1.6
Netherlands	0530	Apr CPI NSA (MoM%/YoY%)	-/-	0.7/2.7
		Thursday 14 May		
US	1330	Apr Retail Sales (MoM%/YoY%)	0.5	1.7
	1330	Initial Jobless Claims (000s)	205	200
UK	0700	Mar GDP Estimate (MoM%)	-0.1	0.5
	0700	Q1 GDP Prelim (QoQ%/YoY%)	0.6/0.9	0.1/1
Spain	0800	Apr CPI NSA (MoM%/YoY%)	-/-	0.4/3.2
		Friday 15 May		
US	1415	Apr Industrial Production (MoM%/YoY%)	0.3	-0.5/0.7

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 11 May		
Turkey	0800	Mar Retail Sales (MoM%/YoY%)	-/-	-0.2/15.6
Czech Rep	0800	Mar Retail Sales (MoM%/YoY%)	-/-	0/4.1
		Tuesday 12 May		
Czech Rep	0900	Apr Unemployment Rate	-	5
Serbia	1100	Apr CPI (MoM%/YoY%)	-/-	0.5/2.8
		Wednesday 13 May		
Turkey	0800	Mar Current Account Balance (USD bn)	-9.8	-7.5
Czech Rep	0800	Apr CPI (MoM%/YoY%) Final	-/-	0.6/1.9
Hungary	0730	Mar Industrial Output Final	-	-1.5
Romania	0700	Apr CPI (MoM%/YoY%)	-/-	0.8/9.9
	0700	Q1 GDP Flash (YoY%)	-	0.2
		Thursday 14 May		
Poland	0830	Q1 GDP Flash (QoQ%/YoY%)	0.6/3.8	1.1/4.1
		Friday 15 May		
Russia	1700	Apr CPI (MoM%/YoY%)	0.3/5.8	0.6/5.9
Turkey	0900	Apr Budget Balance (TRY bn)	-	-229.9
Poland	0830	Apr CPI (MoM%/YoY%)	-	0.6/3.2
	1300	Mar Current Account	-296	-990
Czech Rep	0900	Mar Current Account Balance (CZK bn)	-	17.4
Romania	1300	Apr Rate Decision	-	6.50
Kazakhstan	0900	Apr Industrial Production (YoY%)	-	4.2
	0900	Apr GDP (YoY%)	-	3
Croatia	1000	Apr CPI (YoY%) Final	-	4.8

Source: Refinitiv, ING

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

James Knightley
Chief International Economist, US
james.knightley@ing.com

Adam Antoniak
Senior Economist, Poland
adam.antoniak@ing.pl

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Back-to-back US jobs gains, but hiring caution lingers

A second consecutive firm jobs report is a big win for the US economy, amidst trying circumstances. Nonetheless, other labour market data is not as firm and consumers certainly aren't recognising the strength of this data point. Real household disposable incomes are the key driver of spending and that continues to flatline

A second consecutive strong US jobs report but it will be challenging to maintain with ongoing geopolitical and economic uncertainties

115,000 Job gains in April

Jobs beat expectations for a second month

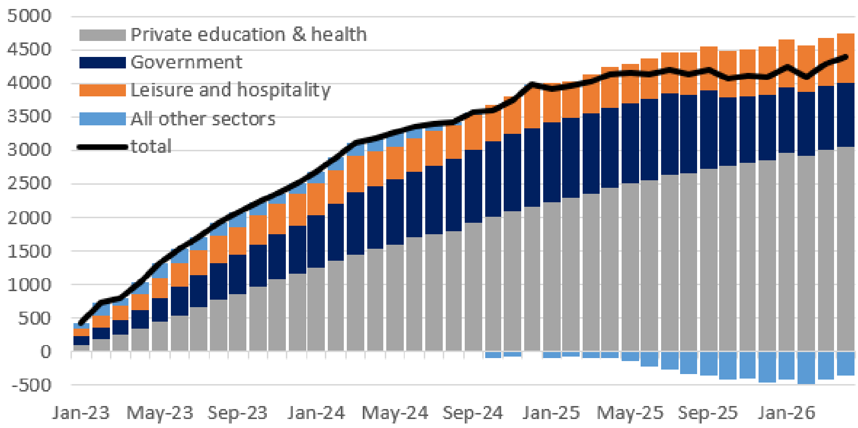
The US jobs report has come in notably stronger than expected for a second consecutive month. Payrolls rose 115k in April versus the 65k expectation, while last month's initial print of 178k is now 185k. This is the first back-to-back monthly jobs increase since May of last year. Other key metrics are that the unemployment rate held steady at 4.3% with the details contradicting the payrolls' data, in that the household survey suggests employment fell 226k while the number of people declaring themselves unemployed rose 134k. Meanwhile, average hourly earnings rose 0.2%MoM/3.6%YoY, which was below the 0.3%/3.8% consensus prediction.

The details show private education and healthcare services added 46k jobs, while transportation and warehousing added 30k and retail contributed 22k, with leisure and hospitality employment increasing 14k. Manufacturing lost 2k though, with information dropping 13k and financial activities losing 11k. Over the past twelve months, the US has added 238k jobs, or just under 20k per month on average, most of which have come in the past two months.

Job gains remain concentrated in three sectors

The chart below shows the cumulative increase in employment since December 2022, with just three sectors accounting for all the jobs added over that time frame. Moreover, the past two payrolls numbers are at odds with the demand surveys we have seen from the ISM and are stronger than the data reported by ADP. The birth-deaths adjustment the Bureau of Labor Statistics uses to compensate for under-coverage of small firms did make a strong contribution of 391k on a non-seasonally adjusted basis. This was similar to last year, but much stronger than previous April periods, which perhaps raises the prospect of eventual downward revisions. For now, though, the overall tone of the report confirms the market pricing that stable interest rates are the likely path forward.

Cumulative employment growth since December 2022 with sectoral breakdown (000s)

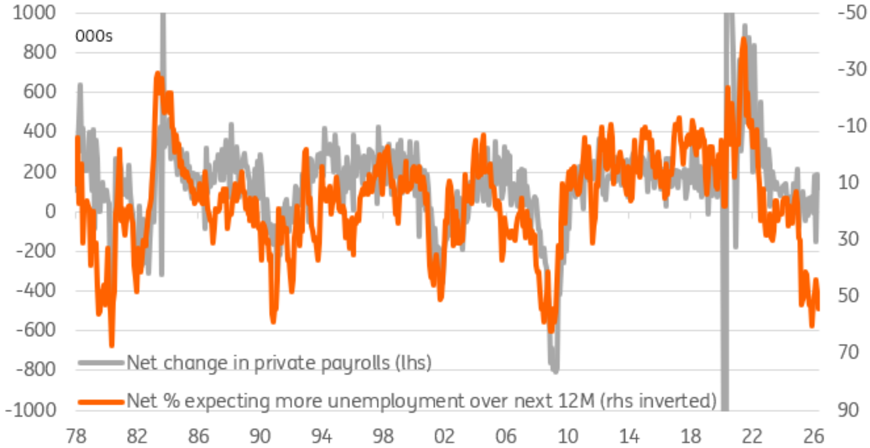


Source: Macrobond, ING

Consumers aren't feeling the improvement

Nonetheless, we are doubtful that these firmer March and April numbers mark the start of a sudden upward trend in job creation. It certainly isn't corroborated by private sector demand indicators, nor consumer confidence readings about the state of the jobs market – see the chart below where the University of Michigan measure of unemployment fears remains at highly concerning levels.

University of Michigan sentiment on unemployment risks remains bleak



Source: Macrobond, ING

In an environment of ongoing geopolitical, economic and market uncertainty, companies are going to be wary and we suspect we will revert back to that 20k per month trend again soon. We also see wage pressure remaining under downward pressure given there are fewer job openings (6.866mn) than there are unemployed Americans (7.373mn). As such, real household disposable income growth is likely to continue flat lining as higher gasoline prices keep inflation elevated. That is not a good story for consumer spending.

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

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FX Daily: Back on the rollercoaster

Market optimism is fading again, after some military skirmishes in the Strait of Hormuz and the US restarting its escorting programme. There is still some hope that a deal will be agreed before the 14-15 May US-China summit, but risks are clearly very binary for USD crosses at this stage. US payrolls should be solid, but unlikely to overshadow Gulf headlines

Market optimism is fading again, after some military skirmishes in the Strait of Hormuz and the US restarting its escorting programme

USD: Back up on new escalation risk

The dollar has risen back as optimism over an imminent US-Iran deal has faded. The US conducted strikes in the Strait of Hormuz area, and Iran fired missiles at some US destroyers after claiming the US violated the ceasefire. The US specified it does not seek escalation, but this is still concerning news for a market that was close to fully pricing in a resolution.

The *WSJ* also reported the US is ready to restart military escorts in Hormuz ("Project Freedom") as early as this week, as Saudi Arabia and Kuwait lifted restrictions on airspace access. That may have prompted Trump to pause the project earlier this week, a development markets had seen as adding pressure on the US to get a deal.

If this proves to be another episode of misplaced optimism on a US-Iran deal, not only does the dollar have plenty of upside room to recover, but there's a good chance investors will prove more cautious and won't jump as aggressively into de-escalation trades without concrete progress in negotiations. The hope for risk bulls is still that China is adding pressure on the US to reach some kind of deal in the Gulf before the 14-15 May Trump-Xi summit. The outlook is looking quite binary from here for the dollar, with the reaction in equities still likely to have a bigger bearing than oil volatility on DXY.

On the macro side, the US releases jobs figures for April today. Our economists' call on payrolls is 50k, modestly below the 65k consensus. We expect unemployment to remain unchanged at 4.3%, in line with expectations. These would be strong numbers given the poor geopolitical backdrop and spike in gasoline prices. At the same time, employment gains have been confined to health/social care and hospitality/leisure, with the rest of the economy shedding jobs, so we doubt markets will be adding any hawkish views simply on the back of that. Last week, Fed Governor Chris Waller described the labour market as weak, with labour force growth likely "close to zero".

Ultimately, news from the Gulf remains simply more important for both Fed pricing and the dollar at this stage than jobs figures.

Francesco Pesole

EUR: Tariff threats re-emerge

The euro held up relatively well in the crosses yesterday, despite losing some ground against the USD. That is probably due to the impact being more visible in softer equities than significantly higher oil prices, which meant underperformance of less liquid, commodity-exposed currencies. Only NOK narrowly outperformed the dollar yesterday, although that was entirely due to a Norges Bank hike.

The euro didn't seem to suffer from Trump's 4 July ultimatum to the EU to ratify its trade deal, threatening to hike tariffs. That's understandable considering geopolitical volatility makes it impractical to price in a risk two months ahead. To us, however, it's a reminder that if the conflict heads to a resolution, trade may well be next on Trump's agenda, with the USMCA and EU on top of the list.

We still think a peace-Hormuz deal could prompt EUR/USD to rally above 1.180. But risks are very binary at this stage. Even without a military re-escalation, negotiations falling through again should take EUR/USD back below 1.170.

Francesco Pesole

GBP: Pound vulnerable on local election fallout

The UK's ruling Labour Party has suffered heavy losses as the results of council elections start to come in. Most areas are yet to declare results, including in the crucial Scottish and Welsh parliamentary elections. Some Labour figures are already out this morning calling on Prime Minister Starmer to go. Investors will be watching the cabinet closely for signs of pressure or even resignations, as markets weigh up the possibility of an increase in borrowing later this year under different leadership scenarios.

The pound had weakened yesterday before any news about early voting results emerged, largely on the back of softer risk sentiment. Still, some politics-related bearish positioning might have also played a role. EUR/GBP is little changed this morning, but given that no political premium was priced in ahead of these elections, risks remain on the upside for the pair.

Francesco Pesole

CEE: Central banks hold fire as divergence emerges in forward guidance

The Czech National Bank and the National Bank of Poland both left policy rates unchanged (3.50% and 3.75%, respectively), in line with expectations, but signalled diverging risks through their communication. In the Czech Republic, Governor Ales Michl struck a relatively dovish tone, emphasising a wait-and-see approach and arguing that policy is already sufficiently tight, with the Board willing to look through near-term supply-driven inflation pressures. By contrast, in Poland, President Adam Glapiński highlighted rising upside risks, pointing to the phase-out of energy subsidies and returning food VAT as potential drivers of renewed inflation pressure in the second half of the year.

From a market perspective, the contrast suggests limited scope for further tightening in the Czech Republic despite still-elevated rate expectations and waiting longer before a possible hike decision, while in Poland the discussion has shifted away from easing toward a prolonged hold, with tightening risks conditional on inflation persistence.

Across the region, recent FX stabilisation has been supported by improved global sentiment, but without a clear hawkish catalyst, further appreciation looks constrained, leaving currencies broadly range-bound near current levels.

Frantisek Taborsky

Author

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

The Commodities Feed: Oil rebounds on renewed US-Iran tensions

Oil prices recovered in early Friday trading amid renewed US-Iran tensions. US natural gas prices rose after storage increased by just 63bcf, undershooting market expectations and the five year average

Energy – Oil climbs on fresh US-Iran clashes

ICE Brent and NYMEX WTI moved higher on Friday morning after three straight sessions of losses, amid reports of renewed clashes between US and Iranian forces. Brent rose nearly 3% to just below USD 103/bbl. The rebound followed US strikes on Iranian military targets after Iran fired on three US Navy destroyers in the Strait of Hormuz. While tensions have escalated, the US has signalled no immediate intent to intensify the conflict and is reportedly still awaiting Iran's response to a proposal to reopen the trade route.

Looking ahead, oil prices are likely to remain highly headline driven, with the recent escalation reinforcing the risk premium. With flows through the Strait of Hormuz unlikely to normalise quickly, markets remain exposed to further upside on any setbacks in diplomatic efforts.

In refined products, Insights Global data shows refined product stocks in the ARA region fell by 108kt week-on-week to 4.5mt in the week ending 7 May. The draw was led by gasoline (72kt to 1.1mt) and gasoil (34kt to 1.8mt). Gasoil stocks fell for a fifth consecutive week, hitting their lowest level since August 2025, underscoring ongoing supply tightness. Naphtha inventories also declined by 17kt to 374kt, the lowest since March 2025, amid disruption linked to the Strait of Hormuz closure. By contrast, fuel oil and jet fuel stocks rose modestly by 9kt and 6kt to 665kt and 558kt, respectively.

In Singapore, inventories fell by 1.1mbbl to 44.8mbbl, the lowest level since July 2025, as US-Iran tensions curtailed Middle Eastern exports. The decline was driven by middle distillates (0.8mbbl) and light distillates (0.6mbbl). Residual fuel stocks, however, increased by 387kbbl to 19.9mbbl.

In natural gas, EIA data shows US gas storage rose by 63bcf last week, below market expectations of around 73bcf and the five year average build of 77bcf. Total inventories stood at 2.2Tcf as of 1 May, around 6.7% above the five year average. The smaller than expected build supported prices, with front month Henry Hub contracts up more than 2% to around USD 2.8/MMBtu.

Metals - China buys more gold

Gold edged higher as signs of renewed buying interest emerged, supported by ongoing central bank demand and persistent geopolitical risks in the Middle East. China's central bank remains a key structural support, with April marking another month of official reserve accumulation.

The People's Bank of China reported its largest monthly gold purchase in over a year in April, extending its accumulation for an 18th consecutive month. Official reserves increased by 260,000 troy ounces (around 8 tonnes), the biggest monthly addition since December 2024. The continued buying underscores China's strategic push to diversify reserves and reduce reliance on US Treasuries. Ongoing central bank demand has helped underpin market sentiment, even as some buyers – including Turkey's central bank – have recently turned to gold sales to support domestic currencies.

While recent US-Iran military escalation has lifted safe haven demand, gains have been tempered by a still restrictive macro backdrop, with elevated real yields, a firm US dollar, and reduced expectations for near term Federal Reserve easing continuing to cap the upside.

Agriculture - Cocoa gains on weak supply prospects

Cocoa futures extended gains for an eighth consecutive session - the longest rally since February 2024 - settling around 7% higher. The move was largely driven by short covering, alongside rising concerns that a developing El Niño could disrupt output in key producing regions. Hotter and drier conditions associated with El Niño raise risks for West Africa and Indonesia at a critical stage of the crop cycle. Elevated fertiliser and fuel costs continue to weigh on farmers in Côte d'Ivoire and Ghana, while analysts have revised lower global surplus forecasts amid growing confidence in a stronger El Niño.

Meanwhile, USDA weekly data shows US grain export sales remained weak in the week ending 30 April. Soybean sales fell to 147.4kt, down from the prior week and well below last year and market expectations. Corn sales also declined to 1,484.5kt, while wheat exports came in at 266.3kt, both below year ago levels. Export activity could improve in coming weeks as the 14 May meeting between Presidents Trump and Xi is expected to provide greater clarity on future Chinese buying.

Author

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@ing.com

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Asia week ahead: China and India release highly anticipated inflation data

The highlights of the week will be inflation reports from China and India as global markets assess fallout from the Middle East. China will also release key trade data

Asia Research highlights of the week

Japan's real wages rose in March, boosting odds of a June hike
South Korea's steps to limit inflation increases paying off — so far
First-quarter GDP miss in the Philippines signals weaker 2026 outlook
Sharp CPI overshoot raises risk of more aggressive rate moves in the Philippines
Reserve Bank of Australia delivers decisive hike, signals balanced path ahead

India: Modest rise in inflation expected

India's inflation is expected to accelerate, but the increase should be modest. Retail gasoline prices are still capped, and core inflation remains contained. Instead, the main driver will be the second round effects of higher oil prices on food inflation.

China: Growth in trade expected, while inflation to remain modest

China's trade data is scheduled for release on Saturday. We expect export growth of around 6.5% and imports to increase by 20.4%, resulting in a trade surplus of $71.6bn. We expect a slight boost in year-on-year trade with the US. Last April marked the escalation of the Liberation Day tariffs and the US-China trade war. Markets will watch whether the data better reflects the impact of higher energy prices. On Monday, China releases its inflation data. We expect the CPI to stay unchanged at 1.0% YoY and PPI to accelerate further to 1.9% YoY.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
		Saturday 9 May		
China	-	Apr Exports (YoY%)	6,5	2,5
	-	Apr Imports (YoY%)	20,4	27,8
	-	Apr Trade Balance (USD Bn)	71,6	51,1
		Monday 11 May		
China	0930	Apr CPI (YoY%)	1	1
	0930	Apr PPI (YoY%)	1,9	0,5
Indonesia	1100	Apr Consumer Confidence Index	-	122,9
		Tuesday 12 May		
Japan	0730	Mar All Household Spending (MoM%/YoY%)	-/-	1.5/-1.8
China	-	Vehicle Sale (YoY%)	-	-0,6
India	1830	Apr CPI Inflation (MoM%/YoY%)	-/3.8	0.3/3.4
Indonesia	1100	Mar Retail Sales (YoY%)	-	6,5
		Wednesday 13 May		
South Korea	0700	Apr Unemployment Rate	2,6	2,7
		Thursday 14 May		
India	1430	Apr WPI Inflation (YoY%)	-	3,9
		Friday 15 May		
China	0500	Q1 Current Account (USD bn)	-	243,8
Japan	0750	Apr PPI (MoM%/YoY%)	-/-	0.8/2.6
India	1930	Apr Imports (YoY%)	-	-6,5
	1930	Apr Exports (YoY%)	-	-7,4

Author

Deepali Bhargava
Regional Head of Research, Asia-Pacific
Deepali.Bhargava@ing.com

Lynn Song
Chief Economist, Greater China
lynn.song@ing.com

Rates Spark: Euro rates and the war

While some ECB officials have been trying to retain flexibility on the next policy move, it remains conditioned on Iran. The Bundesbank's Nagel and Austria's Kocher suggest a hike remains on the table unless there is a marked improvement, continuing to tie the front-end discount to the price of oil. Our view on the war standoff is unchanged – it's here

The next move by the European Central Bank remains conditioned on the Middle East conflict and oil prices

Rates could fall slower than growing optimism suggests

Brent oil prices have been settling more clearly below the US$100/bbl threshold in anticipation of a deal that also reopens the Strait of Hormuz. However, our commodities strategists do not see that much room for further significant drops in the oil price even if the Strait were to reopen soon.

First off, one would need to assess the infrastructure damage incurred during the height of the conflict. More importantly, economies have been drawing heavily on reserves over the past months, which will need to be restocked. This implies higher-than-normal demand for now as supply lines reopen.

If oil prices have limited room to drop, that also means inflationary pressures will remain in place and not vanish all of a sudden. Greater certainty on the outlook may provide central banks with some leeway to look through the near-term rise in inflation prints that is still to come. However, communication is unlikely to shift to an outright dovish stance, as officials will want to assess how still elevated prices continue to filter through the broader economy.

For markets, this means an elevation of rates and central bank discounts that should only be pared more gradually. At least relative to what markets are liable to display amid a first euphoria around an emerging deal. And keep in mind, re-escalation risks are also not entirely off the table just yet.

Friday's events and market view

The US jobs report on Friday might be one of the few data releases that can take the attention off the Middle East situation, even if only briefly. Expectations are for a payrolls increase of 65k, close to the 3m rolling average versus last month's 178k. The unemployment rate is expected to stay at 4.3%. The other US release of note today is the preliminary University of Michigan consumer confidence index, which tends to move more closely – and inversely – with inflation expectations. The European morning will see industrial production data from Germany and Spain.

Away from the data, central bank speakers will have a chance to steer expectations as markets eye the possibility of a deal in the Middle East. From the ECB, Lagarde, de Guindos and Schnabel are scheduled to speak. From the BoE, Governor Bailey and Breeden will speak while the Fed only sees a scheduled speech from Cook – on tokenisation, though.

The gilts market will look at the results of Thursday's local elections that should become available throughout the day.

In ratings, Fitch has reviews of Cyprus, Greece and Slovakia on schedule. DBRS has Germany up for review.

Author

Benjamin Schroeder
Senior Rates Strategist
benjamin.schroder@ing.com

CNB review: Governor signals wait-and-see mode but tone turns dovish

The Czech National Bank has voted unanimously to leave rates unchanged at 3.50%, while keeping its options between a hold and a hike open. Despite a higher inflation path, the board stressed patience amid softer growth and tight conditions. The press conference struck a dovish tone, suggesting rates may remain unchanged for longer

The Czech National Bank opted to keep rates on hold today while keeping its options open moving forward

3.50% CNB key rate

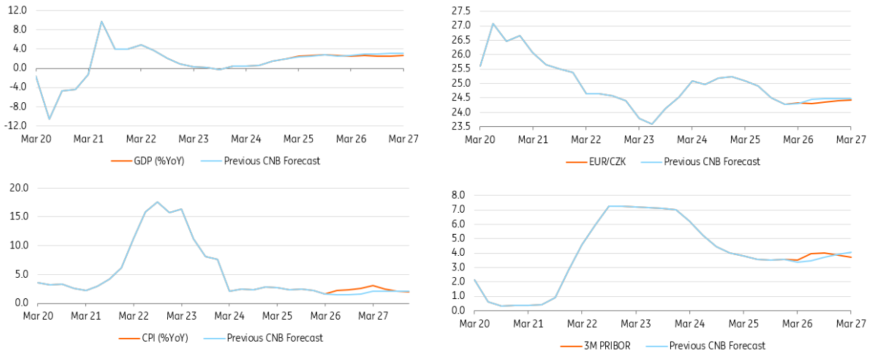
No change

As expected

CNB holds rates unanimously at 3.50%, remains open to a hike amid rising inflation

The Czech National Bank, as expected, left rates unchanged at 3.50% today. All seven members of the bank board voted for this decision. According to Governor Aleš Michl, there was no discussion of a rate hike today; the bank board is keeping its options open for the next meeting, however, where the decision will be between keeping rates unchanged and a rate hike. This could sound relatively hawkish overall in the context of rising inflation.

CNB new forecast vs February



Source: CNB, Macrobond

Higher inflation forecast but weaker growth outlook tilt the balance toward patience

Added to this is the new CNB forecast, which sees higher inflation peaking in the first quarter of 2027 and reaching 3.1% on average. However, this is still close to the upper edge of the CNB's tolerance band, and the governor therefore does not want to rush into reacting.

At the same time, May and June should bring some easing in headline inflation, according to the CNB forecast. A revision of the GDP forecast for the domestic economy from 2.9% to 2.5% (2.2% in ING's forecast) also suggests waiting. It should be noted that the CNB forecast expected a stronger 1Q26 GDP reading (2.1% vs 2.5%). This moves us in a somewhat dovish direction.

Governor defends hold decision with dovish arguments despite model implying tighter policy

The most interesting development, however, was the tone of the press conference, where journalists' questions focused on why the CNB is not hiking rates now if the new forecast implies that it should. The governor, in turn, found himself defending today's CNB decision, laying out several dovish arguments. The board had several alternative scenarios available, including one showing a recession and the need to cut rates.

At the same time, Michl argued for relatively tighter monetary policy than that of other central banks, such as the European Central Bank. This suggests that the CNB would not hike rates even if the ECB hiked – but also that the board already sees current conditions as tight. This was confirmed by the governor, who repeated several times that the entry conditions for the Czech economy in the current "supply shock" are good and the CNB can afford to wait.

Slightly dovish tone suggests prolonged pause, though upside inflation risks remain

Overall, the press conference brought a somewhat dovish tone compared to market pricing, in our view. At the same time, we can't rule out that the tone may not change if inflation continues to trend upwards. Clearly, the board's focus is not just on headline inflation but also on core inflation, which is heading towards 3%.

Still, it remains difficult to see the CNB hiking rates with headline inflation close to target. Our baseline is for rates to be kept unchanged for an extended period, but we see inflation slightly higher in our forecast than the CNB, which will test the board's resolve as we look further ahead.

Our market view

The CNB's May meeting comes at a time of global market relief, even though the end of the US-Iran conflict remains unclear and energy prices remain elevated despite some calming. The CNB understandably has no reason to rush with inflation not far from target and weaker economic data in 1Q26. The Czech koruna has seen some gains in recent days as part of the global rally and reached pre-conflict levels – all the more reason for the CNB not to rush to hike rates. At the same time, it's difficult to find reasons for further strengthening of FX. Instead, we expect EUR/CZK stability as a baseline until the extent of the impact of the US-Iran conflict on the economy, inflation, and the current account becomes clear.

Rates, on the other hand, maintain relatively hawkish pricing, with 63bp of hikes in the one-year horizon. This is a decrease from almost 90bp a few days ago. At the same time, the CZK market remains the most hawkish within the CEE region and/or the ECB. Given the solid returns at the short end of the curve, an official end to the conflict would likely lead to a decline in short-term rates, resulting in a steepening of the curve. Further out, we expect the curve to flatten again, as the CNB is unlikely to cut rates over the next two years, putting more pressure on the economy than in other CEE countries.

Author

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Watch: How two-way risks are dividing the Fed's policy outlook

The Federal Reserve remains split on where exactly rates are headed. If an agreement is reached that allows the Strait of Hormuz to be reopened and gas and oil flows to resume, rate cuts are still more likely than hikes, says ING's James Knightley

How two-way risks are dividing the Fed's policy outlook

US inflation remains sticky and could rise again if energy prices jump, while growth and wage data are cooling. That mix is leaving the central bank on a more uncertain footing ahead of its incoming leadership transition

Watch video

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

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ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer

At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today's ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

Author

Carsten Brzeski
Global Head of Macro
carsten.brzeski@ing.de

Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook

UK Prime Minister Keir Starmer is in a fight for political survival

Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some predictions.

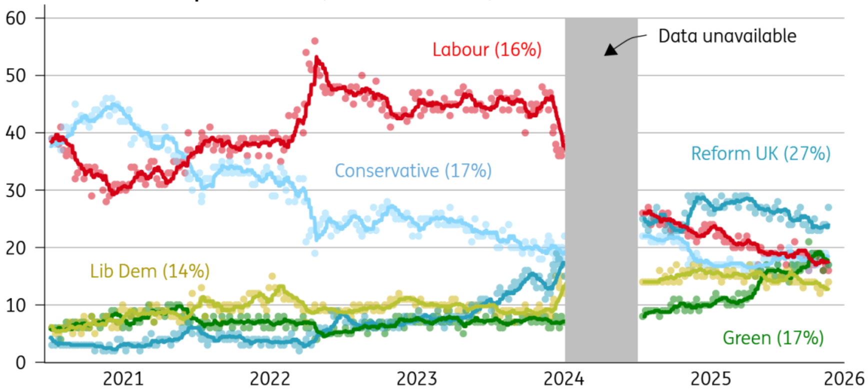
The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

The rise of the Green Party is a bigger issue for Labour than Reform UK

UK General Election poll - YouGov (latest in brackets)



Source: YouGov

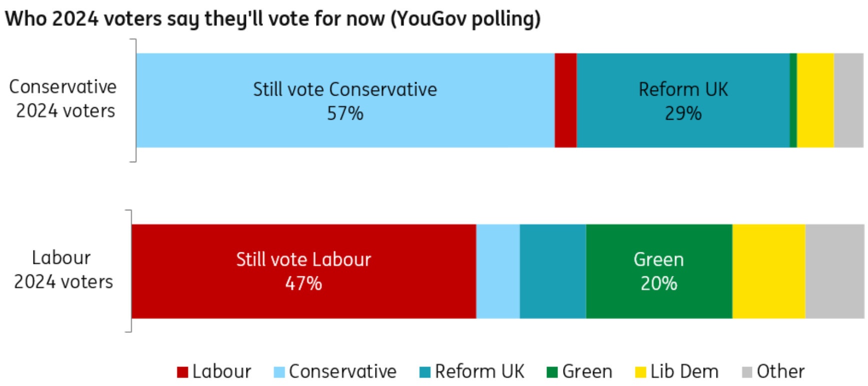
Solid line is the one month moving average

Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral calculus in January and April of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

20% of Labour 2024 voters would now vote Green



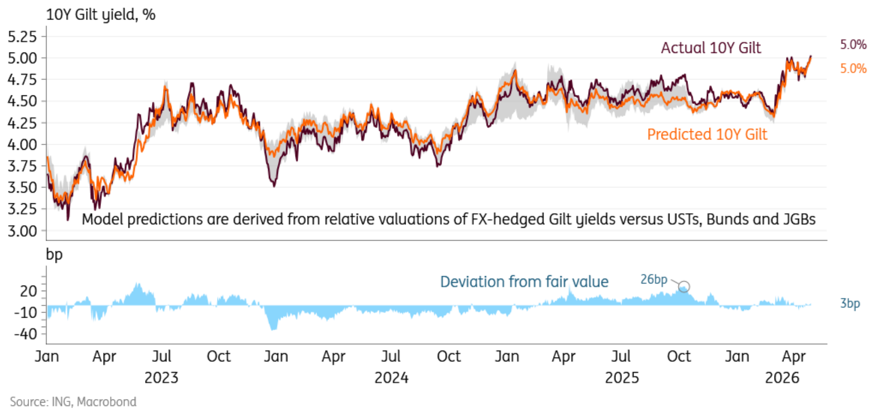
Source: YouGov

How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

There's virtually no risk premium in 10-year gilts



Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 "mini budget", which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR fails to account for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A recent speech by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

The world waits for a climbdown

The war in the Middle East is forcing us to play a game we can't just walk away from. The longer it goes on, the worse things will become for consumers and companies. And central banks are facing their worst challenges. Carsten Brzeski is trying to make sense of it all

President Donald Trump descending Marine One last week

Our new base case scenario

It was 1983 when the movie WarGames taught a generation that the only winning move in a nuclear standoff is not to play. Forty-plus years later, economists find themselves in a similar bind, except we don't have the luxury of walking away from the board. Wars have become our subject matter, and the 2020s have been unforgiving.

War is not a game. Lucky as I am to have only experienced the Cold War as a child, it is still almost unimaginable that we economists now have to become experts on war, or at least on the economic impact of conflict. The biggest lesson I've learnt is that predicting how military conflicts develop is close to impossible. And that's why, instead of having strong conviction calls, the best thing we can offer is scenario analysis. We're trying to understand the mechanisms and transmission channels at play, not to pretend we know when or how the war in the Middle East or Ukraine will end.

In our new base-case scenario, we assume negotiations between Iran and the United States will drag on, prompting renewed tensions and even limited, calibrated military actions. It will take another 2 to 4 weeks before a deal is reached, uncertainty begins to retreat, and the Strait of Hormuz reopens. But don't forget that once that does happen, it will take a while before traffic returns to pre-war levels; insurers and shipowners will be cautious, at first. In this scenario, we see oil prices gradually retreating to below 90 USD/b by the end of the year.

The 2022 playbook, with one big difference

It is obvious that with every passing day of a de facto blockade of the Strait of Hormuz, the risk of knock-on effects for the global economy grows. Consumers around the world are already feeling the sting of higher energy prices. Companies will be next, facing either new supply chain constraints or energy costs too high to make production viable, or both at once. It's the 2022 playbook, but at the risk of sounding like a broken record, one big difference between then and now is that four years ago, the global economy was emerging from lockdown with healthy balance sheets and an almost unstoppable consumer appetite to go out and spend - the perfect breeding ground for fast-spreading inflation.

This time, the inflationary impact of an energy price crisis is likely to be more muted, as consumers will be far more reluctant to open their wallets. You can already see that reluctance in reported willingness-to-spend indicators, which are currently well below 2022 levels. At the same time, the hit to economic activity could be sharper than in 2022: Asia will be harder hit by potential energy supply constraints, and public finances on both sides of the Atlantic are more stretched, leaving less room for fiscal stimulus. Watch out for companies in the middle of supply chains: they may end up squeezed the hardest.

One of the worst challenges for central banks

The six weeks of war in the Middle East have created a new stagflationary drag on the global economy. This wave will vary somewhat across regions and intensify the longer the conflict lasts, but it poses one of the worst challenges central banks can face. As in 2022, we will increasingly see the return of "team transitory" versus "team structural", the former arguing that monetary policy can do very little about a genuine supply-side shock, the latter pushing for pre-emptive rate hikes to prevent price-wage spirals from taking hold. Our view is that a transatlantic divide will open up again: a Fed joining "team transitory" and still cutting rates later this year, and an ECB half-heartedly siding with "team structural", at least one insurance hike, more symbolic than inflation-stopping. Don't forget that since 2022, the word "transitory" is as forbidden in Frankfurt as "Voldemort" is in the Harry Potter series.

But before Voldemort brings too much darkness, Europe has had some genuine good news. The election results in Hungary should end the country's role as the permanent - if occasionally necessary - thorn in the EU's side. Despite the daily struggles of both the German and French governments, Europe now has no excuse or scapegoat for failing to approve the agreed loans for Ukraine and push forward on the single market and common energy policy commitments made back in February.

I suspect this ING Monthly won't be the last one filed under "war and economics." There was a time when the biggest macro risk on an economist's desk was a central bank meeting. Those days feel like a different game entirely. And unlike Matthew Broderick, we can't just unplug the computer.

Our key calls

• In our new base case, we're assuming energy flows gradually recover through the second quarter, though remain below pre-war levels until at least year-end. That sees oil prices averaging 96 USD/bbl through the second quarter.

• We now expect a single ECB rate hike in June. Headline inflation at 4%, core inflation above 3% and a surge in survey-based inflation expectations would make inaction increasingly difficult to justify.

• We still expect two rate cuts later this year. Moderating shelter inflation should mitigate the energy-driven rise in inflation, shifting the focus to weaker consumer spending.

• In China, the CNY has stood out as a surprise winner in the currency space, despite the focus on China's oil imports. We are adjusting our USD/CNY fluctuation band forecast to 6.70-7.05, down from 6.85-7.2, and risks are now broadly balanced to this forecast.

• We're sticking to our call for no Bank of England rate hikes. A weak jobs market and the fact that policy is still restrictive reduce the need for action.

• Developed Asia – Taiwan, Japan, Korea – are better positioned to weather this crisis, helped by stronger energy buffers. Developing Asia looks more exposed.

• CEE central banks remain cautious after the Middle East energy shock, but rate hikes are not imminent. We think Poland and the Czech Republic will stay on hold as inflation risks remain manageable, while Hungary turns more hawkish amid weaker growth and delayed easing.

• Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. The backbone of our bearish USD view into year-end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front-end rates.

• We think US 10-year yields will rise back towards 4.5% in the second quarter.

What the Middle East war means for the global economy right now

The war in the Middle East is starting to have serious consequences for economies around the world. We're not yet predicting a recession, but it's going to hammer growth and increase inflation. Carsten Brzeski says accurately predicting what's going to happen next, however, is a fool's game

Watch video

Author

Carsten Brzeski
Global Head of Macro
carsten.brzeski@ing.de